adopted in such businesses will be ‘misaligned’ with that required by a bank.

Corporate structure: New banks will be set only through a wholly-owned non-operative holding company (NOHC), which will be registered with the RBI as a non-banking finance company. All financial activities of the promoter group will come under the NOHC. The idea is to ring fence the financial interests of the group from its other business activities and give a measure of protection to the bank’s depositors.

Capital Requirement: It will be Rs.500 crore. The NOHC will hold a minimum 40 per cent of the capital for five years from the date of licensing and aggregate non-resident shareholding will not exceed 49 per cent for the first five years.

Corporate governance: 50 per cent of the directors of the NOHC should be independent directors.

Business Model: should be realistic and viable and should address how the bank proposes to achieve financial inclusion, bank should have a fourth of its branches in unbanked rural areas. The RBI will have the powers to vet the business plan and pull up the promoters for any deviations.

Amendment: to the Banking Regulation Act, 1949, will be carried out to give the central bank extensive powers in a wide range of matters necessary for effective supervision.

Listing on Stock Exchanges: The bank shall get its shares listed on the stock exchanges within two years of licensing.

DRI

The differential rate of interest (DRI) is a lending programme launched by the government in April 1972 which makes it obligatory upon all the public sector banks in India to lend 1 per cent of the total lending of the preceding year to ***‘the poorest among the poor’*** at an interest rate of 4 per cent per annum. The total lending in 2005–06 was ` 351 crores.

Priority Sector Lending